cut off efforts by others to develop differentiated alternatives. Here, antitrust policy concerning startup acquisitions becomes relevant. Large platforms such as Facebook, Amazon, or Google may have been able to maintain their positions by buying up all of the prospective challengers before they can mature into more formidable rivals.

II. ANTITRUST REMEDIES AGAINST DOMINANT PLATFORMS

A. Against Platform Exceptionalism

In *Amex*, the Supreme Court disregarded a basic principle about markets, which is that they consist of close substitutes.[212] Instead, it lumped production complements into the same market, and in the process, it stymied coherent economic analysis of the problem. To be sure, power in one side of a two-sided market cannot be assessed without determining what is occurring on the other side. But one does not need to group the two sides into the same "market." Rather, a relevant market should be determined by reference to the side where anticompetitive effects are feared. Then, assessing power requires the fact finder to consider offsetting effects, some of which may occur on the other side.[213]

Second, the Court ignored an important distinction between fact and law. Disputes about market boundaries involve questions of fact. Nevertheless, the majority wrote—as a matter of law—that two-sided platforms compete exclusively with other two-sided platforms. These dicta have already produced mischief in lower-court decisions. For example, it led one court to conclude that a merger between a two-sided online flight-reservation system and a more traditional system could not be a merger of competitors.[214]

Third, without argument or evidence, the Court required litigants to show market power indirectly in vertical restraints cases by reference to a relevant market, even though superior techniques are available. Direct measures are particularly useful in digital markets, where the necessary data are easy to obtain and

212. *See* Hovenkamp, *supra* note 184, at 14-15, 29-33.

213. *See* Hovenkamp, *supra* note 23; *see also* Pike, *supra* note 19, at 15.

214. United States v. Sabre Corp., 452 F. Supp. 3d 97, 136 (D. Del. 2020) (quoting Ohio v. Am. Express Co., 138 S. Ct. 2274, 2287 (2018) ("Only other two-sided platforms can compete with a two-sided platform for transactions.")), *vacated*, No. 20-1767, 2020 WL 4915824, at *1 (3d Cir. July 20, 2020). While Sabre facilitates interconnections on a two-sided platform, Farelogix provides scheduling and routing services to the airlines, which then sell the services on their own websites or through travel agents. *See* Laura-Lucia Richter, *Analysis: The Sabre/Farelogix Transaction and Why Platform Economics Will Matter*, NERA 3-4 (2019), https://www.nera.com/content/dam/nera/publications/2019/PUB_SabreFarelogix%20platforms.pdf [https://perma.cc/PKC5-RVJN].

product differentiation makes traditional market definition unreliable.[215] This was another breach of the boundary between fact and law.

Fourth, the Court misunderstood the economics of free riding, ignoring the fact that when a firm is able to recover the value of its investments through its own transactions, free riding is not a problem.

Fifth, the Court failed to perform the kind of transaction-specific factual analysis that has become critical to economically responsible antitrust law. Rather, it simply assumed, without examining the actual transactions before it, that losses on one side of a two-sided market are inherently offset by gains on the other side.[216] Amex's antisteering rule produced immediate losses for *both* the affected cardholder and the affected merchant. The only beneficiary was Amex, the operator of a platform able to shelter itself from competition. That competition, in turn, would have benefitted both cardholders and merchants.

Markets differ from one another.[217] This is why we apply mainly antitrust law to some markets, regulation to others, and some mixture of the two to yet others. It is also why antitrust is so fact intensive, particularly on issues pertaining to market power or competitive effects. Indeed, the biggest advantage that antitrust has over legislative regulation is its fact-driven methodology. Antitrust courts do and should avoid speaking categorically about market situations that are not immediately before them and avoid making cursory conclusions based on inadequate facts. Within the antitrust framework, there is no reason to think that digital platforms are unicorns whose rules as a class differ from those governing other firms. Every market has its distinct features, but the ordinary rules of antitrust analysis are adequate to consider them. The *Amex* decision is a cautionary tale about what can happen when a court is so overwhelmed by a market's idiosyncrasies that it makes grand pronouncements, abandoning well-established rules for analyzing markets in the process.

플랫폼은 구조적으로 승자독식 시장 X

Most digital platforms are not structural winner-take-all markets. Most dominant platforms cannot maintain their position simply by setting a price at or a little above the competitive level. Just as other dominant firms, if they wish to maintain their power, they must behave strategically. Further, the general case for regulating dominant platforms is weak, at least if the goal of regulation is the ordinary neoclassical one of approximating competitive rates of output.[218] Empirically, of course, the purposes of regulation are much broader and more

지배력을 유지하려면 전략적 행동이 필요하다

215. *See* text accompanying *supra* notes 15-17.

216. *See* Hovenkamp, *supra* note 181, at 745-47.

217. *See, e.g.*, Herbert Hovenkamp, *Regulation and the Marginalist Revolution*, 71 FLA. L. REV. 455, 492-95 (2019).

218. For a statement of this view, see ALFRED E. KAHN, THE ECONOMICS OF REGULATION: PRINCIPLES AND INSTITUTIONS 11-12 (1988).

diverse than the range of rationales for antitrust.[219] For example, regulatory goals could be dictated by telecommunications policy, national security, privacy, decency, political balance, equality, protection of particular interest groups, or other values. If the goal of regulation is something other than maintaining competitive levels of output, it will have to be implemented by means other than the antitrust laws.

Just as the digital platform is not a unicorn, it is also no monolith: platforms differ substantially from one another. One important difference lies in the nature of the products. Some platforms have inputs and outputs that are composed primarily of intellectual-property rights or other digital content that is nonrivalrous and inexhaustible. Others deal in more tactile goods and services where the power to exclude varies from one situation to another. For some technologies, product differentiation serves to make natural monopoly highly unlikely. Some platforms compete intensely with more traditional markets, while others do not.

As a result, antitrust litigation against platforms requires individualized fact finding, an assessment of competitive harms, and relief appropriately tailored for the circumstances. 플랫폼이나 시장의 성질 상이

→ 개별적 사실 조사· 맞춤형 해결이 필요

B. *Anticompetitive Conduct*

This very brief discussion is not intended to make a case for antitrust enforcement against any particular platform.[220] Setting aside mergers,[221] the conduct alleged in the various government complaints filed in late 2020 against Facebook and Google mainly involves contracting with various suppliers or other business partners. This includes exclusive or quasi-exclusive dealing, most-favored-nation clauses,[222] loyalty practices,[223] and tying and default rules.[224] The complaints also challenge prohibitions on the app developers' creation of services that compete with Facebook and on app developers partnering with

---

219. *See* BREYER, *supra* note 70, at 15-25 (1982).

220. For good evaluations of two possibilities, see Fiona M. Scott Morton & David C. Dinielli, *Roadmap for an Antitrust Case Against Facebook*, OMIDYAR NETWORK 11, 15 (2020), https://www.omidyar.com/sites/default/files/Roadmap%20for%20an%20Antitrust%20Case%20Against%20FB.pdf [https://perma.cc/3V2N-CCGS]; and Scott Morton & Dinielli, *supra* note 206, at 13, 15. For more general coverage, see AREEDA & HOVENKAMP, *supra* note 9, *passim*.

221. *See infra* Part III (discussing platform acquisitions).

222. *See* AREEDA & HOVENKAMP, *supra* note 7, ¶¶ 768a6, 1807b1.

223. *Id.* ¶¶ 749, 1821a.

224. *Id.* ¶¶ 1700-83.

Facebook's competitors.[225] Under established antitrust doctrine, these arrangements would be reachable under the Sherman Act. Most are vertical agreements, which are subject to the rule of reason. Unfortunately, the federal courts have made the rule of reason unnecessarily harsh on plaintiffs, who face high hurdles to bringing a prima facie case.[226] In large part, this results from a lingering antienforcement bias held by the judiciary, even though this normative baseline no longer reflects the economic consensus.[227]

There may also be some anticompetitive horizontal agreements. A state AG antitrust complaint brought against Google alleges an unlawful agreement between Google and Facebook to restrain the market for header bidding.[228] In addition, Google's payments to Apple to make Google Search the iPhone's default search engine might involve a commitment by Apple not to develop its own search engine in competition with Google. Such a promise, if it is found to exist, could be a per se unlawful market-division agreement.[229] In a related area, Uber has been fighting off claims of driver price fixing.[230] Any of these firms might also agree anticompetitively not to hire one another's employees.[231]

While both Google and Facebook are large firms in networked markets, none of these complaints is a broadside on networks themselves. Networking unquestionably increases value, but it also increases both the opportunities for

---

225. *See, e.g.*, FTC Facebook Compl., *supra* note 33, ¶¶ 139-40 (quoting Facebook's policy that app developers "may not integrate, link to, promote, distribute, or redirect" to any competing platform, and alleging that the purpose was to "harm the prospects for—and deter the emergence of—competition").

226. *See* HOVENKAMP, *supra* note 26, § 2.2c.

227. *See* Hovenkamp & Scott Morton, *supra* note 6, at 8.

228. Complaint at ¶¶ 12-14, Texas v. Google, LLC, No. 4:20cv957 (E.D. Tex. Dec. 16, 2020) (alleging an agreement between Google and Facebook to restrain "header bidding," which was a system intended to make ad pricing more competitive by facilitating bidding among multiple ad exchanges).

229. *See supra* note 204. At the time of this writing Apple is rumored to be developing its own search engine, in part because of impending antitrust litigation. *See* Tim Bradshaw & Patrick McGee, *Apple Develops Alternative to Google Search*, FIN. TIMES (Oct. 28, 2020), https://www.ft.com/content/fd311801-e863-41fe-82cf-3d98c4c47e26 [https://perma.cc/D3NX-AB9F].

230. *See, e.g.*, Meyer v. Kalanick, 2020 WL 4482095, at *2-4 (S.D.N.Y. Aug. 3, 2020) (refusing to set aside the arbitrator's decision for the defendant); Meyer v. Kalanick, 291 F. Supp. 3d 526, 530 (S.D.N.Y. 2018) (acknowledging the price-fixing claim and granting the motion to compel arbitration); Yellow Cab Co. v. Uber Tech., Inc., 2015 WL 4987653, at *5-6 (D. Md. Aug. 19, 2015) (refusing to dismiss the claim of driver price fixing under state antitrust law).

231. *E.g.*, California v. eBay, Inc., 2014 WL 4273888 (N.D. Cal. Aug. 29, 2014) (granting California's motion for preliminary approval of settlement in a case involving a labor antipoaching agreement between eBay and Intuit, Inc.).

anticompetitive behavior and its costs.[232] For example, refusals to deal are inherently more problematic in networked industries than in standalone markets where each firm ordinarily supplies its own inputs and finds its own sales. One cannot address competition problems without appreciating the system of rules and regulations that a market has put into place. That has consistently been true in Supreme Court rule of reason cases. For example, in *Chicago Board of Trade*, Justice Brandeis explained how a rule that nominally constituted price fixing actually made competition work better in that market.[233] In *NCAA*, the Court condemned a horizontal restriction on televised games only after concluding that the restriction was not needed to further the kind of competition that organized collegiate football required.[234] The Ninth Circuit lost sight of this in its *Qualcomm* decision, where it ignored the FRAND patent cross-licensing system and treated each firm as a standalone competitor.[235] As a result, its decision threatens to undermine a system that has brought about considerable innovation and development in a competitive networked environment. 네트워크 자체가 아니라
구체적 행위·맥락을 고려해야 한다

C. *Coordinating Antitrust Remedies with Its Goals*

Antitrust's provisions for public equitable relief are extremely broad, with no explicit restriction on the nature of the relief.[236] The statute authorizing the federal government to seek equitable relief does not even contain the limitation common in other federal provisions that such relief be "in accordance with the principles of equity."[237] A simple injunction, a radical breakup of a large firm into

---

232. *See* Herbert Hovenkamp, *FRAND and Antitrust*, 105 CORNELL L. REV. 1683, 1703, 1716 (2020); *see also* AREEDA & HOVENKAMP, *supra* note 9, ¶ 772 (advocating heightened dealing obligations in network industries).

233. Bd. of Trade of Chi. v. United States, 246 U.S. 231, 239 (1918) (explaining the functions of the challenged pricing rule).

234. NCAA v. Bd. of Regents, 468 U.S. 85, 103-05, 115 (1984) (explaining how an NCAA restriction on televised games was unnecessary for proper operation of NCAA football and was a naked restraint).

235. FTC v. Qualcomm, Inc., 969 F.3d 974 (9th Cir. 2020).

236. 15 U.S.C. § 25 (2018) (authorizing the government "to prevent and restrain" antitrust violations).

237. For example, antitrust's *private* equity provision authorizes injunctive relief "when and under the same conditions and principles as injunctive relief against threatened conduct that will cause loss or damage is granted by courts of equity, under the rules governing such proceedings." 15 U.S.C. § 26 (2018); *see also* 35 U.S.C. § 283 (2018) (authorizing "injunctions in accordance with the principles of equity" under the Patent Act); 15 U.S.C. § 1116 (authorizing courts "to grant injunctions, according to the principles of equity" for trademark infringement); 17 U.S.C. § 1322 (2018) (regarding copyright design protection, court may "grant injunctions in accordance with the principles of equity").

small pieces, or many other kinds of relief would all appear to be *legally* possible if it rationally falls within the government's power to "prevent and restrain" antitrust violations. Nevertheless, the courts have crafted their own limits on the scope and nature of antitrust injunctions. For example, the Supreme Court has often stated that the purpose of an equitable antitrust remedy is to "restore competitive conditions."[238] An appropriate remedy, however, can "curtail the exercise of liberties that the [defendant] might otherwise enjoy."[239]

Under the consumer-welfare principle, antitrust seeks to promote market output as large as is consistent with sustainable competition. Remedies should be designed to further that goal. One important ingredient in that determination is the duration of and harm caused by the monopoly. Another is the costs and benefits of the remedy itself.

구제 수단은 지속 가능 경쟁 + 시장 이익과 충돌 ? 목표를 달성할 수 있도록 설계되어야 한다

The more durable the monopoly, the more costly it is to society. Most single-firm monopolies that last only a year very likely do not merit structural relief, because the cost of antitrust enforcement is high and its wheels turn slowly. As a result, antitrust challenges to firm dominance typically require an analysis of entry barriers, which considers whether monopoly is likely to be dissipated by new entry and, if so, how long that process will take.[240]

A well-designed breakup can increase competition. A poorly crafted one can deprive firms of scale economies or positive network effects, harming consumers more than it helps. A breakup can even ruin a firm. If the plaintiff is contemplating a breakup, the court should insist on additional evidence about necessity, effectiveness, and costs at the remedies stage. Accordingly, in *Microsoft* the D.C. Circuit vacated the district court's remedy judgment because it had failed to hold a hearing on the breakup question.[241]

An antitrust remedy should be evaluated by its success in increasing output, decreasing prices, improving product quality, or spurring innovation—that is, by the same criteria that we generally adopt as goals for the antitrust laws. It is not antitrust's purpose to make firms smaller, unprofitable, or less efficient, nor to harm consumers by causing higher prices or reduced quantity or quality. Concerns about privacy, political power, or social and economic equality are of course relevant to legal policy generally, but they are not antitrust problems unless they also threaten to reduce output, raise prices, or restrain innovation.

---

238. United States v. Int'l Harvester Co., 274 U.S. 693, 698-706 (1927); *see also* United States v. E.I. du Pont de Nemours & Co., 366 U.S. 316, 326 (1961) ("The key to the whole question of an antitrust remedy is of course the discovery of measures effective to restore competition."); United States v. Microsoft Corp., 253 F.3d 34, 47 (D.C. Cir. 2001) (describing the government's request for "relief as is necessary and appropriate to restore competition conditions").

239. Nat'l Soc'y of Prof'l Eng'rs v. United States, 435 U.S. 679, 697 (1978).

240. *See* AREEDA & HOVENKAMP, *supra* note 9, ¶¶ 420-23.

241. *See Microsoft*, 253 F.3d at 106-07.

At the same time, antitrust is not simply regulation by another name. Unlike command-and-control regulation, antitrust generally begins with the premise that markets should tend to themselves. It intervenes only when competition is threatened, and "restore competition" means what it says. 반독점법은 경쟁이 위협받을 때만 개입한다

The discussion below considers how antitrust tribunals can further digital-platform competition without causing consumer harm or becoming excessively involved in the ongoing supervision of business conduct.

1. *Structural Relief, Limits on Defaults, and Other Injunctions*

a. *Remedies and Choice of Statute*

Section 2 of the Sherman Act is directed toward unilateral monopolistic conduct as well as attempts. Section 1 targets agreements of all kinds that restrain trade, and often condemns conduct when no individual firm has a dominant market position. As a general matter, the legal standard for section 1 is more aggressive than section 2, but it can be invoked only when there is a qualifying "agreement" involving two or more actors.[242]

One notable feature of the various antitrust complaints filed in late 2020 against Google and Facebook is the predominance of section 2 of the Sherman Act.[243] The Antitrust Division's complaint against Google proceeds entirely under section 2, as does the Colorado State AG complaint. The Texas Complaint does include a claim under section 1 of the Sherman Act, but that complaint also alleges an unlawful horizontal agreement between Facebook and Google. As for the Facebook complaints, the FTC's complaint claims only violations of section 2.[244] The state AGs' complaint against Facebook includes a challenge to Facebook's mergers under section 7 of the Clayton Act,[245] and section 2 of the Sherman Act, but has no claim under section 1 of the Sherman Act.

The omission of any section 1 claims from nearly all of these complaints is striking since, by a rough estimate, at least three-quarters of the conduct described in them involves some kind of agreement. Normally it would be much easier to establish a violation of section 1 than of section 2. That said, there has been a trend toward the use of section 2 when the defendants have a

---

242. *See generally* AREEDA & HOVENKAMP, *supra* note 9, chs. 6-8 (discussing unilateral conduct); *id.* chs. 14-23 (discussing conduct involving agreement).

243. United States Google Compl., *supra* note 96; Colorado Google Compl., *supra* note 28.

244. *See* FTC Facebook Compl., *supra* note 32. The FTC cannot enforce the Sherman Act directly but does so via section 5 of the FTC Act. *See* 15 U.S.C. § 45 (2018).

245. *See* New York Facebook Compl., *supra* note 32, ¶¶ 263-72 (acquisition challenges to Instagram and WhatsApp acquisitions).